Board Policy 1.60.040-P

District ~~Performance~~ Internal Audit~~ing~~

The Portland Public Schools (District) Board of Education (Board) believes maintaining an internal audit function is an essential element in achieving the mission, goals, and objectives of District. The ***purpose*** of the internal audit function is to provide independent and objective assurance and consulting services designed to add value and improve the District's operations. The ***mission*** of internal auditing is to enhance and protect organizational value by providing independent and objective assurance that strengthens the District's governance, accountability, and stewardship of public resources.

As stewards of public funds, the District is accountable to taxpayers, students, and the community. The internal audit function contributes to this accountability by providing independent assurance over financial integrity, compliance, and operational performance, reinforcing confidence in the District's use of resources. By evaluating risk management, internal controls, and operational practices, the internal audit function helps the Board and management make informed decisions, enhance transparency, and maintain public trust.

It is the policy of the District's Board to maintain an Office of Internal Audit (Office) that is staffed by a Board-approved Internal Auditor (Auditor), who will be hired and evaluated by the Board, and may only be removed by a majority vote of the Board. The Auditor will be positioned at a level in the District that enables internal audit function's services and responsibilities to be performed without interference from management. This positioning provides the organizational authority and status to bring matters directly to senior management and to escalate matters to the Board when necessary.

This policy establishes the internal audit mandate and also serves as the internal audit function's charter.

~~I.~~ Office of ~~Performance~~ Internal Audit[1] ~~or~~

~~II.~~I.

~~Portland Public Schools shall maintain an Office of Performance Auditor. The office shall be staffed by a Board-approved District Performance~~

[1] The Office of Internal Audit does not perform the annual audit of District's financial statements (required by ORS Chapter 297) or the annual audit of the Districts compliance with federal grants, called the Single Audit (required by the Single Audit Act and Uniform

SPS policy pg. 1 (2)

(1) pg. 6

Commented [JH1]: Pulled in from Essential Conditions 7.1

Commented [JH2]: Not all policies have a preamble, some do (ex: 8.70.044-P). I am not sure if there is a specific rule around when and when not to include a preamble, but I would like to propose a preamble for this policy.

↳ printed for quick reference

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~~Auditor (Auditor), who shall be hired, evaluated, and may be removed by the Board, and such other employees or contractors as the Board provides budgetary funding.~~

A. The Office provides independent and objective assurance and consulting services designed to improve District operations. The Office serves as an unbiased resource that assist leaders in identifying and addressing critical operational and compliance concerns that could prevent the District from achieving its goals, including those targeting the equitable provision of education.

B. The Office is an essential element in achieving the mission, goals, and objectives of the District. As such, management is expected to actively engage with the Office to promote the identification and delivery of high-value audits that supports District objectives.

C. The Auditor reports administratively to the Chief Financial Officer (or comparable role) for personnel functions such as leave approval, payroll, reimbursement, and provisions of office space and supplies.

D. District management will cooperate with the Office to enable the Office to:

1. Have full, free, and unrestricted access to all functions, records, property and personnel pertinent to carrying out the Office's activities, subject to accountability for and preservation of confidentiality and the safeguarding of records and information.
2. Allocate the Office's resources, set frequencies, select audit topics, determine scopes of work, apply techniques required to accomplish audit objectives, and issue reports.
3. Obtain the assistance from the necessary District personnel, as well as other specialized services from within or outside of the District, necessary to complete the Office's activities.

Guidance (2 CFR 200)). The District contracts with a third party for these two annual audits. Contracted external auditors are expected to adhere with this policy, where applicable.

Commented [JH3]: Moved to preamble

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Commented [JH4]: Pulled from: SPS Policy 6550 – pg. 1

4

Commented [JH5]: Pulled from: SPS Policy 6550 – pg. 2

Commented [JH6]: Previously included in … II. Audit Committee. E.

5

Commented [JH7]: Pulled from SPS Policy 6550 – pg. 3

E. The Office will be provided a separate budget (subject to available resources) sufficient to carry out the responsibilities and functions established in this policy.

1. The Auditor must assess whether internal audit resources are sufficient to fulfill the internal audit mandate and achieve the internal audit plan. If not, the Auditor must develop a strategy to obtain sufficient resources and inform the Board about the impact of insufficient resources and how resource shortfalls will be addressed.

~~A. The Office of Performance Auditor shall adhere to Generally Accepted Government Auditing Standards (GAGAS) in conducting its work and shall be considered independent as defined by those standards.~~

Commented [JH8]: Previously section III.A

6

Commented [JH9]: Pulled in from Essential Conditions 8.2

Commented [JH10]: Moved to Audit Standards paragraph

II. Role and Responsibilities of the Auditor

A. The role and responsibilities of the Auditor not otherwise identified in this policy include, but are not limited to:

1. The Auditor advises on the development and implementation of policies.
2. The Auditor will ensure the principles of integrity, objective, confidentiality, and competency are applied and upheld.
3. The Auditor will ensure the internal audit function collectively possesses or obtains the knowledge, skills, and other competencies needed to meet the requirements of this policy.
4. The Auditor plans, coordinates and works collaboratively with internal staff, external auditors, and other external agencies, as appropriate, to support and participate in investigations of fraud, waste, abuse, ethical misconduct and mismanagement, in accordance with auditing standards.
5. The Auditor keeps abreast of, monitors, and interprets District policies and procedures, current developments in accounting and auditing profession, and changes in local, state, and federal laws, as applicable to ensure best practices.

7

Commented [JH11]: Pulled in from Janise's position description.

8

Commented [JH12]: These two were pulled in from the Moss Adams audit report pg. 28

9

Commented [JH13]: Pulled in from Janise's position description

10

Commented [JH14]: Pulled in from Janise's position description

6. The Auditor must provide the Board and senior management with the information needed to support and promote the recognition of the internal audit function throughout the District.
7. The Auditor must coordinate the internal audit function's Board communications with senior management to support the Board's ability to fulfil its requirements and to support senior management's implementation of audit recommendations.
8. The Auditor must provide the Board with the information needed to conduct its oversight responsibilities. This information may be specifically requested by the Board, or may be, in the judgment of the Auditor, valuable for the Board to exercise its oversight responsibilities.
9. The Auditor must provide the Board and senior management with the information necessary to establish the internal audit mandate.

B. The Auditor will ensure that the Office remains free from all conditions that threaten the ability of the Office to carry out its responsibilities in an unbiased manner, including matters of audit selection, scope, procedures, frequency, timing, and report content. If the Auditor determines that independence or objectivity may be impaired in fact or appearance, details of the impairment will be disclosed to the appropriate parties.

C. Within budget limitations and consistent with District policies and procedures, the Auditor will have the authority to employ and remove other employees of the Office or contractors as deemed necessary for the efficient and effective administration of the duties of the Office.

D. Periodically, the Auditor must assess whether changes in circumstances justify a discussion with the Board and senior management about the internal audit mandate. If so, the Auditor must discuss with the Board and senior management to assess whether the authority, role, and responsibilities continue to enable the internal audit function to achieve its strategy and accomplish its objectives.

E. In the event the Auditor becomes aware of any losses, abuse, illegal acts, or omissions or indications of such acts or omissions that could affect the District, the auditor will report the irregularities to the Chair of the Audit Committee and the Superintendent. If the Superintendent is believed to be a

Commented [JH15]: Pulled in from Essential Conditions 6.3

Commented [JH16]: Pulled in from Essential Conditions 6.3

Commented [JH17]: Pulled in from Essential Conditions 8.1

Commented [JH18]: Pulled in from Essential Condition 6.1

Commented [JH19]: Pulled in from SPS policy, pgs. 3-4

Commented [JH20]: Pulled in from Essential Condition 6.1

party to abuse or illegal acts, the Auditor will report the acts directly to the Chair of the Audit Committee.

1. The Auditor will make any necessary notifications to the Ethics Officer. If it appears that the irregularity is criminal in nature, the Auditor will immediately notify the appropriate prosecuting authority, in addition to those officials previously cited.

F. The Auditor may request periodic status reports from audited departments regarding actions taken to address reported deficiencies, audit recommendations, and completed action plans.

III. Audit Standards

A. The Office will adhere to Generally Accepted Government Auditing Standards (GAGAS) in conducting its work and will be considered independent as defined by those standards.

B. The Office will govern itself by adherence to the mandatory elements of The Institute of Internal Auditors' International Professional Practices Framework including the Core Principles for the Professional Practice of Internal Auditing, the Code of Ethics, the International Standards for the Professional Practice of Internal Auditing (The Standards) and the Definition of Internal Auditing. The Auditor will report periodically, at least every five years, to senior management and the Audit Committee regarding the Office's conformance to the Code of Ethics and The Standards.

IV. Independence and Objectivity

A. The Auditor and staff of the Office will be unbiased and perform audit activities objectively and will not subordinate their judgment on audit matters to others.

B. The Auditor and the staff of the Office will have no direct operational responsibilities or authority over any of the audit activities conducted. Accordingly, they will not implement internal controls, develop procedures,

Commented [JH21]: Previously section IX. Report of Irregularities section.

Commented [JH22]: Liz suggested: CHRO and/or General Counsel. Probably ok, just need to update my understanding of whether there is a state requirement to have someone at PPS designated as an "Ethics Officer"

Commented [JH23]: Pulled in from SPS BP, pgs. 2-3

17

Commented [JH24]: Previously included in policy section XI. Audit Follow Up

Commented [JH25]: Previously section III. Assistants and Employees, B.

Commented [JH26]: Previously included in policy section I.B – moved to included in this III. Audit Standards section of the policy.

18

Commented [JH27]: Pulled in from SPS BP, page 1

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Commented [JH28]: Pulled in from SPS policy, pg. 4

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install systems, prepare records, or engage in any other activity that may impair their judgment.

Commented [JH29]: Pulled in from SPS policy, pg. 4

C. The Auditor must confirm to the Board the organizational independence of the internal audit function at least annually. This includes communicating incidents where independence may have been impaired and the actions or safeguards employed to address the impairment.

Commented [JH30]: Pulled in from Essential Conditions 7.1

D. There may be instances when the Auditor disagrees with senior management or other stakeholders on the scope, findings, or other aspect of internal audit activities that may affect the ability of the internal audit function to execute its responsibilities. In such cases, the Auditor must provide the Board with the facts and circumstances to allow the Board to consider whether, in its oversight role, it should intervene with senior management or other stakeholders.

Commented [JH31]: Pulled in from Essential Conditions 8.1

~~III.~~V. Audit Committee

A. The Audit Committee promotes the independence of the Office and Auditor and protects them from management's influence or any other personal or political agenda.

Commented [JH32]: Pulled from SPS policy, pg. 2

B. The Auditor must have direct and unrestricted access to senior management and the Board and therefore reports functionally to the Audit Committee in order to maintain independence from senior management.

Commented [JH33]: Pulled from SPS policy, pg. 2

~~A.~~ The role, responsibilities, and membership of the Audit Committee are established in the Audit Committee's Charter, which is approved by the Board. ~~The Audit Committee shall be comprised of five members appointed by the Board and all appointees shall be independent of the district's management and administrative service. The Audit Committee will be comprised of three members of the Board and two community members that have a general knowledge of the District and the audit process.~~

~~B.~~

~~C. The two community members shall serve as non-voting members of the Audit Committee for two years and may be re-appointed at the end of their term.~~

~~D.~~

~~E. The Board recognizes that community members bring specialized knowledge and expertise to the Audit Committee. Community members serving on the Audit Committee shall employ discretion, avoid conflicts of interest and their appearance, and exercise care in performing their duties. Community members appointed to the Audit Committee shall follow the ethics rules contained in ORS Section 244.~~

~~F.~~

~~G. The Audit Committee welcomes up to two students to participate as ex officio members of the Audit Committee. The students may be appointed to the Audit Committee by the Student Representative to the Board and/or at the discretion of the Chair of the Audit Committee.~~

~~H.~~

~~I. The Auditor and their staff shall report to the Audit Committee, and the Auditor shall be annually evaluated by the Board using the school district's evaluation instrument. The Auditor shall report to the Deputy Superintendent for Business & Operations (or comparable role) for administrative purposes such as leave approval, office space and supplies, paychecks, and reimbursements.~~

~~J.~~

~~K. Assistants and Employees~~

~~L.~~

~~M. The Office of Performance Audit shall be provided a separate budget (subject to available resources) sufficient to carry out the responsibilities and functions established in this policy.~~

~~N.~~

~~O. Within budget limitations and consistent with District policies and procedures, the Auditor shall have the authority to , employ, and remove other employees of the Office of Performance Audit or contractors as deemed necessary for the efficient and effective administration of the duties of the office.~~

Commented [JH34]: All of this content related to the role, responsibilities, and membership of the AC will be removed from the policy and included in the "Audit Committee Charter".

Commented [JH35]: Moved to section I. Office of Internal Audit, D.

Commented [JH36]: Moved to section I. Office of Internal Audit, C.

Commented [JH37]: Moved to section I. Office of Internal Audit, F.

~~IV.~~VI. Scope of Internal Audit~~s~~ Activities

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A. ~~A.~~ The Auditor ~~shall have~~has the authority to conduct performance audits or other audit~~s~~ activities of all schools, offices, activities, and programs – including contracted programs. ~~to independently determine whether:~~

A.B. The scope of internal activities encompasses all District functions, including, but not limited to, the objective examinations of evidence for the purpose of providing independent assessments to the Board, management, and appropriate third parties on the adequacy and effectiveness of governance, risk management, and control processes for the District. Internal audit activities include, but are not limited to, evaluating whether:

Commented [JH38]: Pulled from SPS policy, pg. 1

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1. Activities and programs being implemented have been authorized by District policy, state law, or applicable federal law or regulations;
2. Activities or programs are conducted efficiently and effectively to accomplish the objective intended by District policy, state law, or applicable federal law or regulations;
3. Activities and programs are being conducted and funds expended in compliance with applicable laws;
4. Revenues are being properly collected, deposited, and accounted for;

Risks relating to the achievement of the District's strategic objectives are appropriately identified and managed;

5. The actions of District employees and contractors follow District policies, procedures, applicable laws and regulations, and best practices;
6. Operations and/or program outcomes are consistent with established objectives and are being carried out effectively and efficiently;
7. Established processes and systems enable compliance with policies, procedures, laws, and regulations that apply to the District;
8. District operations support effective fiscal accountability, internal control environment, capital program administration, and mitigation of fraud risks;

1. The enterprise risk assessment may be conducted internally, or based on a recommendation from the Auditor, and budget constraints, the Office may contract with a third party to complete the assessment.

B. Using the completed enterprise risk assessment, in consultation with the Audit Committee, input from senior management, stakeholders, and the Board, the Office will develop a three-year risk-based Audit Plan identifying areas or departments for audit and/or review.

SPS BP pg.1 27

1. Selection of areas or departments for audit will be based on the level of risk identified in the enterprise risk assessment, potential for cost savings and service improvements; level of public and Board interest; evidence of problems or wrongdoing; risk of loss or abuse, and availability of audit staff.

C. Upon review of the three- year Audit Plan, the Audit Committee will recommend the Audit Plan to the full Board for approval.

D. Within 90 days from the~~At the~~ beginning of each fiscal year, the Auditor ~~shall~~ will submit an ~~proposed~~ annual Work Plan~~audit plan~~ to the Audit Committee for review, ~~and~~ input, and approval.

1. The annual Work Plan will identify which of the audit topics identified in Audit Plan, and the detailed scope and objectives of the audits and/or reviews, that will be audited during the year.~~,~~
2. Unless there are significant changes from the Board approved three-year Audit Plan, the annual Work Plans will not require the approval of the full Board.

~~The plan shall include the schools, offices, activities, functions, and programs proposed for audit during the year. Upon review of the plan, the Audit Committee will recommend an annual audit plan to the full Board for approval.~~

Commented [JH41]: Deleted – proposed edits change this process some.

~~In consultation with the Audit Committee, the Auditor will select topics based on potential for cost savings and service improvements; level of public and school board interest; evidence of problems or wrongdoing; risk of loss or abuse; and availability of audit staff.~~

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9. Information and the means used to identify, measure, analyze, classify, and report information are reliable and have integrity.

10. Resources and assets are acquired economically, used efficiently, and protected adequately;

~~5.~~ Financial and other reports are being provided that disclose fairly and fully all information that is required by law, that is necessary to ascertain the nature and scope of programs and activities, and that is necessary to establish a proper basis for evaluating the programs and activities;

~~6.~~11.

~~7.~~ There are adequate operating and administrative procedures and practices, systems or accounting internal control systems, and internal management controls which have been established by management; or

~~8.~~12.

~~9.~~13. Indications of fraud, abuse, or illegal acts are identified for further investigation.

B. The Auditor may provide non-audit services that are not covered by Government Audit Standards, provided that the service does not impair the auditor's independence. Decisions to perform non-audit services will be based on two overarching principles:

1. Audit organizations should not provide non-audit services that involve performing management functions or make management decisions; and

~~2.~~

~~3.~~2. Audit organizations should not audit their own work or provide nonaudit services in situations where the non-audit services are significant/material to the subject matter of audits.

~~V.~~VII. Risk Assessment, Three-Year Audit Plan, and Annual Work Plan

A. Every three years, the Office will require an enterprise risk assessment be conducted. The enterprise risk assessment should identify, assess, and prioritize, and respond to opportunities and threats that affect the achievement of District objectives.

Commented [JH39]: Pulled in from SPS policy, pgs. 1-2

SPS BP pg. 1 (27)

Commented [JH40]: Discuss the ERM with Liz

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VIII. External Audits and Reviews

A. Departments under audit or review will notify the Office of such activities and will include the Auditor in the entrance and exit conferences. External audits and reviews the Office will be made aware of include the following:

1. Audits completed by contracted external auditing firm such as, the annual audit of the District's financial statements and Bond performance audits.
2. Audits or reviews completed by regulatory agencies such as, the Department of Education, and Oregon's Secretary of State's Audit Division, etc.
3. Audits or reviews initiated by individual departments for specific, targeted purposes with the intention of assessing compliance or improving efficiency, effectiveness, and/or performance.

B. The Auditor will be notified of the engagement's scope of work, methodology, and results, to effectively oversee external audits and reviews occurring at the District. Additionally, the Office will receive a copy of the final report and may require a presentation of the results be made to the Audit Committee. Findings and recommendations provided in these reports will be tracked as a component of the District's Implementation Plan and validation process.

~~VI.~~IX. Access to Employees, Records and Property

A. All District officers and employees ~~of shall~~ will furnish the Auditor with requested information and unrestricted access to employees, information, and records within their custody or control regarding powers, duties, activities, organization, property, equipment, financial transactions, contracts, and methods of business required to conduct ~~an audit or otherwise perform audit duties~~ audit activities. Officers or employees who fail to provide access and/or information requested by the Auditor, may be subject to discipline up to and including termination.

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Commented [JH42]: Comment from Liz: I am not sure what "review" encompasses. Need to discuss with Liz.

Commented [JH43]: Liz suggested deleting this item – Discuss with Liz when we meet I have a couple of examples of why I would like it included.

Commented [JH44]: Liz suggested replacing "require" with "may recommend that". I added the word may, but would like to keep the word require. Lets discuss in our meeting.

Commented [JH45]: Liz suggested deleting this sentence. I would like to keep it. Lets discuss

Commented [JH46]: Pulled in from SPS BP, pg. 2

~~A.~~ All contracts with outside contractors and subcontractors ~~shall~~ will provide for Auditor access to all financial and performance-related records, property, and equipment purchased in whole or in part with District funds.

B.

C. The Auditor will~~shall~~ not publicly disclose any information received during an audit involving matters that are confidential, privileged, or are otherwise exempt from disclosure under applicable state or federal law. Reporting in such cases may be limited to the Board.

~~VII. Views of Responsible Officials~~

~~A. A final draft of each audit report shall be delivered to the manager responsible for the audited program and the Superintendent for review and comment before it is released. The responsible manager must respond in writing specifying agreement with audit findings and/or recommendations or reasons for disagreement with findings and/or recommendations, plans for implementing solutions to issues identified, and a timetable to complete such activities. The auditor must receive the response within 15 working days. The Auditor may revise its report based on the substantive input of the responsible manager. The Auditor will report the responsible manager's response to the Auditor's findings, conclusions, and recommendations, as well as the responsible manager's planned corrective actions. If no response is received within the specific timeframe, the Auditor will note that fact in the audit report and will release the report. In the case of contracted audits, audits may be released without inclusion of a response.~~

Commented [JH47]: Deleted the Review of Responsible Officials section and moved this paragraph to the Audit Reports section.

~~VIII.~~X. Audit Reports

~~A.~~ A. A final draft of each audit report will be delivered to the manager responsible for the audited program and the Superintendent for review and comment before it is released. The responsible manager must respond in writing specifying agreement with audit findings and/or recommendations or reasons for disagreement with findings and/or recommendations, plans for implementing solutions to issues identified, and a timetable to complete such activities.

Commented [JH48]: Liz suggested replacing "issues identified" with "accepted recommendations".

I am not a fan of "accepted recommendations" terminology. It should be a rare occasion that management disagrees with a recommendation, and this paragraph already provides an option for management to provide the reasons for their disagreement.

C. The development and implementation of the Implementation Plan is a function of District management.

D. To support accountability and transparency in the Implementation Plan process, management activities should be validated by the Auditor to ascertain their completeness and adequacy in addressing the findings. Given the scope of the Office, this function will span across District functions and should identify how validation was completed (i.e. what documentation was reviewed, walkthrough completed, or testing performed). The results of audit validation should be tracked comprehensively, reported to the Audit Committee quarterly, and made available to the public.

E. For all validated Implementation Plans, both the employee performing validation and a designee responsible for the implementation should attend the Audit Committee meeting to answer any potential questions from committee members.

~~IX. Report of Irregularities~~

~~A. If during an audit, the Auditor becomes aware of abuse or illegal acts or indications of such acts that could affect the District, the auditor shall report the irregularities to the Audit Committee and the Superintendent. If the~~
~~B. Superintendent is believed to be a party to abuse or illegal acts, the Auditor shall report the acts directly to the Audit Committee chair.~~

Commented [JH50]: Removed this section and included the two bullets in the R&R of the Auditor section

~~X.~~XII. Annual Report

A. The auditor will~~shall~~ submit an annual report to the Board within 90 days of the fiscal year end indicating audits completed, major findings, corrective actions taken by administrative managers, and significant findings which have not been fully addressed by management.

~~XI. Audit Follow-up~~

~~A. Responsible managers should provide quarterly reports about the implementation of corrective action plans as specified in the plan. The Auditor may request periodic status reports from audited entities regarding~~

Commented [JH51]: Deleted. Covered in the Implementation Plan and Validation section

cost associated w Hotline

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B. The auditor must receive the response within 15 working days. The Auditor may revise its report based on the substantive input of the responsible manager. The Auditor will report the responsible manager's response to the Auditor's findings, conclusions, and recommendations, as well as the responsible manager's planned corrective actions. If no response is received within the specific timeframe, the Auditor will note that fact in the audit report and will release the report. In the case of contracted audits, audits may be released without inclusion of a response.

C. Each audit will result in a written report containing relevant background information, findings and recommendations, and ~~shall~~ will be delivered to the Audit Committee, Board, and the Superintendent. The report will~~shall~~ also be available for public examination, except as otherwise provided in this policy or prohibited by law.

Cost barriers

Audit

XI. Implementation Plan and Validation

A. Following issuance of each audit report, whether conducted internally or externally, the Superintendent will assign a responsible senior executive to develop and implement an Implementation Plan.

B. The assigned senior executive will develop an Implementation Plan which includes specific activities that management will implement in order to address the audit findings and recommendations. Each activity should identify the estimated timeframe, associated costs, responsible party, and operational dependencies for completion. This timeline will serve as the basis for audit validation reporting. Implementation Plans will be shared with the Audit Committee at the following intervals;

1. Final audit report delivery,
2. Quarterly, until resolution of the Implementation Plan, and if or when
3. Significant changes to the activities or deadlines of the Implementation Plan are anticipated.

29

Commented [JH49]: It is my practice to give departments 60-90 days to develop the implementation plan.

So, in the "management's response" to the audit recommendations, they would just have to day whether or not they agreed with the recommendation. That would be included in the final audit report, along with at statement that the department will submit an Implementation Plan to the Audit Committee within 60-90 days.

The actual "Implementation plan" would not be included in the final audit report, but is posted to the PPS Audit Reports website as a separate document.

I may still need to make some updates to this section to clarify.

SPS BP P9.3

~~actions taken to address reported deficiencies, audit recommendations, and completed action plans.~~

Commented [JH52]: Deleted and moved the second sentence to the R&R of the Auditor section

~~XII. Contract Auditors, Consultants, and Experts~~

~~A. Within budget limitations, the Auditor may obtain the services of Certified Public Accountants, qualified management consultants, or other professional experts as necessary to perform the Auditor's duties.~~

Commented [JH53]: Deleted. Adequately covered in R&R of Auditor section (II.E)

History: Adopted 6/71; amended 12/83; re-organizational rescission 9/9/02; re-adopted 6/13/05 BA 3330; Amended 8/13/07; Amended 12/11/2018; 1/2024

Policy No. 6550
Series: 6000 – Management

Seattle Public Schools

6550 Internal Audit

It is the policy of the Seattle School Board that the District shall establish and maintain an Office of Internal Audit to provide independent and objective assurance and consulting services designed to add value and improve the District's operations. An internal audit function provides significant value to the District by serving as an unbiased resource that assists leaders in identifying and addressing critical operational and compliance concerns that could prevent the District from achieving its goals, including those targeting the equitable provision of education. Overall, the work performed by Internal Audit will help the School Board, Superintendent, and other District personnel accomplish goals while strengthening the processes and procedures of the District. As long as the District's goals are centered on student outcomes, Internal Audit will have a positive impact on students.

This document also serves as the Office of Internal Audit Charter.

Scope of Internal Audit Activities
The scope of internal audit activities encompasses all District functions, including programs. This includes, but is not limited to, objective examinations of evidence for the purpose of providing independent assessments to the Board, management, and appropriate third parties on the adequacy and effectiveness of governance, risk management, and control processes for the District. Internal audit assessments include evaluating whether:

- Risks relating to the achievement of the District's strategic objectives are appropriately identified and managed.
- The actions of District employees, and contractors follow District policies, procedures, applicable laws and regulations, and best practices.
- Operations and/or program outcomes are consistent with established objectives and are being carried out effectively and efficiently.
- Established processes and systems enable compliance with the policies, procedures, laws, and regulations that apply to the District.
- District operations support effective fiscal accountability, internal control environment, capital program administration, and mitigation of fraud risks.

- Information and the means used to identify, measure, analyze, classify, and report information are reliable and have integrity.
- Resources and assets are acquired economically, used efficiently, and protected adequately.

In addition to identifying and conducting internal audits, Internal Audit will also:

- Provide the Finance and Audit Committee, the Superintendent, and management with final audit reports and presentations.
- Update the Finance and Audit Committee on a quarterly basis on the status of the audit work plan.
- Coordinate audit and external review efforts with those of the state auditor and other third parties.

The internal audit function shall be considered an essential element in achieving the mission, goals, and objectives of the District. As such, management is expected to actively engage with the Office of Internal Audit to promote the identification and delivery of high-value audits that support District objectives.

Internal Audit Governance

A core function of the Finance and Audit Committee is to promote the independence of the internal auditors by protecting them from management's influence or any other personal or political agenda.

The chief internal auditor must have direct and unrestricted access to senior management and the Board, and therefore reports functionally to the Finance and Audit Committee in order to maintain independence from District management. The chief internal auditor also reports administratively to the Superintendent for personnel functions such as leave approval, payroll, reimbursements, and provisions for office space and supplies. The position will be secured by a renewable employment contract in accordance with State law. The Board, wishing to promote independence and objectivity, authorizes the Chair of the Finance and Audit Committee to renew the chief internal auditor's employment contract for up to three consecutive years. Subsequently, the Finance and Audit Committee must approve the renewal of the chief internal auditor employment contract and re-authorize the Chair of the Finance and Audit Committee to renew the contract for up to three additional consecutive years.

To establish, maintain, and assure that the Internal Audit Department has sufficient authority to fulfill its duties, the Finance and Audit Committee will:

- Review the risk-based internal audit work plan.
- Make recommendations to the Superintendent and the Board for ensuring that the internal audit activity is allocated sufficient resources.
- Receive communications from the chief internal auditor on the Internal Audit Department's performance relative to its plan and other matters.
- Recommend the selection and removal of the chief internal auditor to the full School Board.
- Approve the renewal of the chief internal auditor employment contract every four years and authorize the Chair of the Finance and Audit Committee to renew the chief internal auditor employment contract for up to three additional consecutive years.
- Make appropriate inquiries of management and the chief internal auditor to determine whether there are scope or resource limitations.
- Review and accept the internal audit activity's work product (e.g., findings and recommendations).
- Oversee appropriate corrective action for deficiencies noted by the internal audit activity, including reviewing corrective action plans and reviewing validation of management activities taken to resolve audit findings. All audits will appear on the
- Audit finding and corrective action plans related to operations, facilities, and capital programs will be reviewed by the Operations Committee

In order to effectively carry out its role, the Internal Audit Department requires cooperation from District management, which enables the department to:

- Have full, free, and unrestricted access to all functions, records, property, and personnel pertinent to carrying out any engagement, subject to accountability for confidentiality and safeguarding of records and information.
- Allocate resources, set frequencies, select audit topics, determine scopes of work, apply techniques required to accomplish audit objectives, and issue reports.
- Obtain assistance from the necessary personnel of the District, as well as other specialized services from within or outside the District, in order to complete the engagement.

Independence and Objectivity

The chief internal auditor will ensure that the Office of Internal Audit remains free from all conditions that threaten the ability of internal auditors to carry out their responsibilities in an unbiased manner, including matters of audit selection, scope, procedures, frequency, timing, and report content. If the chief internal auditor determines that independence or

objectivity may be impaired in fact or appearance, the details of impairment will be disclosed to appropriate parties.

Internal auditors will maintain an unbiased mental attitude that allows them to perform engagements objectively and in such a manner that they believe in their work product, that no quality compromises are made, and that they do not subordinate their judgment on audit matters to others.

Internal auditors will have no direct operational responsibility or authority over any of the activities audited. Accordingly, internal auditors will not implement internal controls, develop procedures, install systems, prepare records, or engage in any other activity that may impair their judgment.

Superintendent Procedure:

Policy Cross References:

- 1240 – Committees
- 6100 – Revenues from Local, State, and Federal Sources
- 6500 – Risk Management
- Board Procedure 6550BP – Internal Audit

Previous Policies:

- G23.00
- G23.01

Legal References:

Management Resources:

Last Board Review:

- January 21, 2026

Revisions:

- February 11, 2026
- August 2023 (Administrative Update per Policy No. 1310)
- June 2023
- July 2021
- June 2013

Adopted by the Board:

- February 2012

Seattle Public Schools

6550BP Internal Audit

School Board Adopted Policy No. 6550, "Internal Audit Policy," establishes and defines the role of the Office of Internal Audit as providing, "independent and objective assurance and consulting services designed to add value and improve the District's operations." The purpose of this Procedure is to establish the functions of internal audit at the District, with the overarching goal of supporting achievement of District objectives.

Audit Standards

The Office of Internal Audit will govern itself by adherence to the mandatory elements of The Institute of Internal Auditors' International Professional Practices Framework, including the Core Principles for the Professional Practice of Internal Auditing, the Code of Ethics, the international *Standards for the Professional Practice of Internal Auditing (The Standards)*, and the Definition of Internal Auditing. The chief internal auditor executive will report periodically, at least every five years, to senior management and the Finance and Audit Committee regarding the Office of Internal Audit's conformance to the Code of Ethics and The Standards.

The Office of Internal Audit shall require the Racial Equity Toolkit to be completed for each audit engagement undertaken by the District in conformance with Board Policy 0030.

Audit Plan Development

Every three years, the Office of Internal Audit shall require an enterprise risk assessment be conducted. In accordance with Board Policy No. 6500, Risk Management, the enterprise risk assessment should identify, assess, prioritize, and respond to opportunities and threats that affect the achievement of District objectives. Using the completed risk assessment and input from District management, stakeholders, and the Board, the Office of Internal Audit shall develop an annual risk-based audit work plan identifying areas or departments for review. Proposed projects may include internal controls reviews, capital program reviews, operational assessments, performance audits, or other advisory functions for any District function. Within the work plan, Internal Audit resources will be reserved for special audit requests to address pressing District needs. The annual work plan, as well as any revisions to the work plan, shall be reviewed by the Finance and Audit Committee.

When scoping an internal audit, the chief internal auditor shall assess whether there are sufficient and appropriate resources internally to conduct the audit or if external resources are required to provide the highest possible value to the District. The Office of Internal Audit may contract with third parties to perform, in whole or in part, any project included in the audit plan to provide specialized expertise, ensure sufficient capacity to complete the audit plan, support the timely completion of projects, or resolve any other real or perceived constraint to performing the work internally.

External Audits and Reviews

Departments under audit or review by an external ~~agency~~ organization shall notify the Office of Internal Audit and include the chief internal auditor in entrance and exit conferences. Engagements that the Office of Internal Audit shall be made aware of include the following:

- External audits completed by regulatory agencies such as the Office of Superintendent of Public Instruction, the State Auditor's Office, the Department of Education, etc.
- Audits or reviews initiated by individual departments for specific, targeted purposes with the intention of assessing compliance or improving efficiency, effectiveness, and/or performance.

The chief internal auditor shall be notified of the engagement's scope of work, methodology, and results to effectively oversee external reviews occurring at the District. Additionally, the Office of Internal Audit shall receive a copy of the final report and require a presentation of its results be made to the Finance and Audit Committee. Findings and recommendations provided in these reports shall be tracked as a component of the District's Corrective Action Plan and validation process.

Reporting

At the conclusion of each audit, the chief internal auditor shall require a presentation of results be made to the Finance and Audit Committee. Following issuance of each final report, whether conducted internally or externally, the Superintendent shall assign a responsible senior executive to develop and implement a Corrective Action Plan.

In the event that Internal Audit becomes aware of any losses, abuse, illegal acts, or omissions or indications of such acts or omission that could affect the District, the chief internal auditor shall report the irregularities to the Finance and Audit Committee, the Superintendent, and the State Auditor's Office. If the Superintendent is believed to be a party to abuse or illegal acts, the auditor shall report the acts directly to the School Board. Additionally, the chief internal auditor shall make any necessary notifications to the Ethics Officer. If it appears that the

irregularity is criminal in nature, the auditor shall immediately notify the appropriate prosecuting authority, in addition to those officials previously cited.

Corrective Action Plan

The assigned senior executive will develop a Corrective Action Plan which includes specific activities that management will implement in order to address the audit finding and recommendation. Each activity should identify the estimated timeframe, associated cost, responsible party, and operational dependencies for completion. This timeline shall serve as the basis for audit validation reporting. Corrective Action Plans will be shared with the Finance and Audit Committee or Operations Committee at the following intervals: 1) final audit report delivery, 2) resolution of the Corrective Action Plan, and 3) significant changes to the activities or deadlines of the Corrective Action Plan are anticipated. The development and implementation of Corrective Action Plans is a function of District management.

To support accountability and transparency in the Corrective Action Plan process, management activities should be validated to ascertain their completeness and adequacy in addressing the finding. Given the scope of the Office of Internal Audit, this function will span across District functions and should specify how validation was completed (i.e. what documentation was reviewed, walkthrough completed, or testing performed). The results of audit validation should be tracked comprehensively, reported to the Finance and Audit Committee on a quarterly basis, and made available to the public. For all validated corrective actions, both the employee performing validation and a designee responsible for corrective action plan implementation should be in attendance of the Finance and Audit Committee meeting to answer any potential questions from Committee members.

Internal Audit Communications

The Office of Internal Audit shall maintain a website which includes the Annual Risk Assessment & Audit Plan and published internal audit reports, external audit reports, and reports of external reviews. After the Finance and Audit Committee receives the audit, it is the expectation that management implement corrective actions necessary to resolve the audit issues. Following the receipt of each audit, the Finance and Audit Committee Chair or Board President shall announce and provide the completed audit at the next scheduled School Board regular meeting.

The chief internal auditor shall submit an annual report to the School Board within 90 days of the school year calendar end indicating audits completed, major findings, results of audit validation, and significant findings which have not been fully addressed by management.

Chief Internal Auditor Employment Contract Renewal

To promote independence and objectivity, the School Board authorizes the Chair of the Finance and Audit Committee to renew the chief internal auditor's employment contract for up to three consecutive years. Subsequent renewals require the approval of the Finance and Audit Committee, which will also re-authorize the Chair of the Finance and Audit Committee to renew the contract for up to three additional consecutive years. During the years when the Chair of the Finance and Audit Committee is authorized to renew the contract, the Chair shall notify the Finance and Audit Committee of the Chair's intent to renew the contract no later than 90 days before the contract will expire. If a member of the Finance and Audit Committee opposes the renewal of the contract, the Committee member may request that the full Finance and Audit Committee vote on the contract renewal. During the years when the Finance and Audit Committee is voting on the renewal of the contract, the vote must occur no later than 45 days before the contract will expire. If the Finance and Audit Committee votes in favor of terminating or not renewing the chief internal auditor's employment contract, the action will move to the full School Board for a vote.

Quality Assurance

The Office of Internal Audit shall establish and maintain a quality assurance and improvement program that covers all aspects of the internal audit activity. The quality assurance program should evaluate conformance with standards as well as assess the efficiency and effectiveness of internal audit activity. Additionally, an external assessment must be conducted once every five years by a qualified, independent assessor from outside the organization. The purpose of the external review is to determine the conformance with *The Standards* and may include operational or strategic elements. Results from the quality assurance and improvement program shall be reported to the Finance and Audit Committee.

Superintendent Procedure:

Policy Cross References:

- 0030 – Ensuring Educational and Racial Equity
- 1240 – Committees
- 6100 – Revenues from Local, State, and Federal Sources
- 6500 – Risk Management
- 6550 – Internal Audit

Previous Policies:

- G23.00

- G23.01

Legal References:

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- June 2023
- July 2021
- May 2014
- June 2013

Adopted by the Board:
- February 2012

- The internal audit department's conformance or intent to conform with The IIA's Code of Ethics and *Standards,* and action plans to address any significant conformance issues.
- Significant risk exposures and control issues, including fraud risks, governance issues, and other matters requiring the attention of, or requested by, the Board.
- Results of audit engagements or other activities.
- Resource requirements.
- Any response to risk by management that may be unacceptable to SAISD.

The chief internal auditor also coordinates activities, where possible, and considers relying upon the work of other internal and external assurance and consulting service providers as needed. The internal audit department may perform advisory and related consulting activities for SAISD, the nature and scope of which will be agreed on by the Board, provided the internal audit department does not assume management responsibility.

Opportunities for improving the efficiency of governance, risk management, and control processes may be identified during engagements. These opportunities will be communicated to the appropriate level of management and the Board.

Responsibility

The chief internal auditor has the responsibility to:

- Submit, at least annually, to senior management and the Board a risk-based internal audit plan for review and approval.
- Communicate to senior management and the Board the impact of resource limitations on the internal audit plan.
- Review and adjust the internal audit plan, as necessary, in response to changes in SAISD's business, risks, operations, programs, systems, and controls.
- Communicate to senior management and the Board any significant interim changes to the internal audit plan.
- Ensure each engagement of the internal audit plan is executed, including the establishment of objectives and scope, the assignment of appropriate and adequately supervised resources, the documentation of work programs and testing results, and the communication of engagement results with applicable conclusions and recommendations to appropriate parties.
- Follow up on engagement findings and corrective actions, and report periodically to senior management and the Board any corrective actions not effectively implemented.
- Ensure the principles of integrity, objectivity, confidentiality, and competency are applied and upheld.
- Ensure the internal audit department collectively possesses or obtains the knowledge, skills, and other competencies needed to meet the requirements of the internal audit charter.
- Ensure trends and emerging issues that could impact SAISD are considered and communicated to senior management and the Board as appropriate.
- Ensure emerging trends and successful practices in internal auditing are considered.
- Establish and ensure adherence to policies and procedures designed to guide the internal audit department.

Board Policy 8.70.044-P

Capital Asset Renewal Funds and Plans

The Board of Education believes that all students deserve a quality learning environment. Consequently, the District should have a plan governing how all physical facilities that house and support the education programs of the District can be continuously maintained, regularly revitalized, and constructed using current best practices and methods that promote student learning. Such a plan should reflect actual funding capacity while supporting the goal of adequate funding to meet this policy goal.

The District should extend the useful life of District facilities, ensure public capital investments are properly preserved, and reduce deferred maintenance costs by:

1) Developing a 20-year Capital Asset Renewal Plan (CAR Plan) for Board approval with CAR Plan and funding updates at subsequent five-year intervals. CAR Plan funds are available to address any improvement that meets the definition of "capital improvement" as defined in ORS 320.183(3).
2) The District shall establish funding for the Capital Asset Renewal (CAR) Plan that shall include, but not be limited to, the following components:

    a. Fund 404: Construction Excise Tax (CET) Revenues (net of approved expenses and charges).
    b. A Capital Asset Renewal (CAR) Fund comprised of:
        i. Following debt retirement estimated to begin in FY 2021/22, redirection of the Recovery Zone Bond debt service.
        ii. Lease revenues and surplus property sales. At a minimum, lease revenue shall be base-lined at the FY 2011/12 present day value to hold the General Fund stable.
        iii. Revenue generated from renting/leasing District athletic fields will be tracked through the Civic Use of Buildings office.
    c. Interest earned in any of the above Funds.

3) Capital asset renewal projects identified in the CAR Plan and the use of funds from the CAR Fund and the CET Fund (Fund 404) will be proposed by the Superintendent in the District's annual budget process and are subject to annual Board of Education approval.

RELATED POLICIES:

Preservation, Maintenance, and Disposition of District Real Property 8.70.040-P

History: Adopted 1/23/12; Amd. 6/3/13; Amd. 5/19

Position Description for Sr. Internal Performance Auditor

Portland Public Schools envisions every student, every teacher, every school succeeding. As we commit to a major transformation, we are actively seeking talented, driven professionals who are energized by big challenges. If you are solution-oriented, a strong communicator and collaborator, and passionate about public education, then this is the place for you! Read more about PPS, our schools and programs, and beautiful Portland, Oregon, at the bottom of the posting.

The Opportunity

We are seeking a dynamic leader to join us as the Lead Internal Performance Auditor. The Lead Internal Performance Auditor is appointed by the Portland Public Schools Board of Education and will work under the direction of the Board. The Lead Internal Performance Auditor works closely with Deputy Superintendent of Business & Operations, District management and key stakeholders to improve the District's ability to ensure accountability for quality operational, administrative, budgetary, and organizational performance. The Lead Internal Performance Auditor manages the performance of internal audits, ensuring that internal audits comply with applicable standards, regulations, and guidance and that resulting reports are fair, impartial, and useful.

Responsibilities:

The Lead Internal Performance Auditor is responsible for providing leadership and oversight for internal performance audits in support of process accountability and safeguarding of district funds in a variety of areas related to the operation of the District, including budgeted funds, internal accounts and safeguarding district assets.

- Works with the Board and District leadership to assess needs and develops, implements and maintains an internal performance auditing plan.
- Maintains quality communications with the Board, Deputy Superintendent of Business & Operations and District management and key stakeholders to build consensus on a shared vision for the District's performance improvement efforts.
- Provides leadership to assigned auditor/s to develop skills, prioritize and assign projects, to support annual performance management processes.
- Participates in development, implementation and maintenance of policies, objectives, short-and long-range planning; develops and implements projects and programs to assist in accomplishment of established goals.
- Evaluate production processes for compliance with quality requirements.
- Provides leadership in the development of the District's annual performance audit plan.
- Performs preliminary planning and establishes direction for performance audits, manage project to quality outcomes, while meeting established time budget.
- Develop, recommend, and implement internal audit programs that evaluate the adequacy and effectiveness of internal controls and perform substantive tests with established policies and procedures.
- Plan, coordinate, and work collaboratively with internal staff, external auditors, and other external agencies, as appropriate, to support and participate in investigations of fraud, waste, abuse, ethical misconduct and mismanagement, in accordance with auditing standards.

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- Keeps abreast of district policies and procedures, current developments in accounting and auditing professions, and changes in local, state, and federal laws, as applicable.
- Create reports that are required by law, and are necessary to ascertain the nature and scope of programs/ activities and to establish a proper basis for evaluating the programs and activities;
- Monitor and interpret related laws, regulations, and policies to ensure best practices.
- Perform other duties as assigned.

Minimum Requirements:

- Bachelor's degree from an accredited institution in accounting, public or business administration, public policy, political science, statistics, economics, law, social science or related field.
- 3-5 years of progressively responsible experience in government/public performance required.
- Financial auditing, internal auditing in management analysis, financial analysis, operations or financial management, strategic planning, and/or other related services in a large entity, public sector preferred..

Preferred Qualifications:

- Certified Internal Auditor Certification
- Demonstrated knowledge of state law, or applicable federal law or regulations.
- Demonstrated ability to analyze complex operations, financial and organizational issues and problems, evaluate alternatives and reach sound, logical, fact-based conclusions and recommendations.
- Demonstrated knowledge of the principles, practices and standards of governmental auditing standards.
- Demonstrated ability to establish and maintain effective working relationships with Board members, District leadership, department managers, and representatives of other governmental agencies, community groups, private enterprises and others encountered in the course of work.
- Evidence of exceptional written and oral communication skills needed to prepare clear, concise and convincing documents that convey complex ideas, data, and recommendations for a variety of audiences.
- Demonstrated ability to research, develop surveys, interpret and analyze complex technical and legal documents and decisions, state and federal laws and regulations.
- Experience in school district, education auditing or management analysis is desirable.

Any other combination of education and experience that would likely provide the required knowledge and abilities may be considered.

Essential Conditions listed were pulled from The Institute of Internal Auditors, Global Internal Audit Standards, Domain III: Governing the Internal Audit Function, pages 39-59.

Standard 6.1 Internal Audit Mandate

Requirements

(14) The chief audit executive must provide the board and senior management with the information necessary to establish the internal audit mandate. In those jurisdictions and industries where the internal audit function's mandate is prescribed wholly or par ally in laws or regulations, the internal audit charter must include the legal requirements of the mandate. (See also Standard 6.2 Internal Audit Charter and "Applying the Global Internal Audit Standards in the Public Sector.")

To help the board and senior management determine the scope and types of internal audit services, the chief audit executive must coordinate with other internal and external assurance providers to gain an understanding of each other's roles and responsibilities. (See also Standard 9.5 Coordination and Reliance.)

The chief audit executive must document or reference the mandate in the internal audit charter, which is approved by the board. (See also Standard 6.2 Internal Audit Charter.)

(16) Periodically, the chief audit executive must assess whether changes in circumstances justify a discussion with the board and senior management about the internal audit mandate. If so, the chief audit executive must discuss the internal audit mandate with the board and senior management to assess whether the authority, role, and responsibilities continue to enable the internal audit function to achieve its strategy and accomplish its objectives.

Essential Conditions

Board

- Discuss with the chief audit executive and senior management the appropriate authority, role, and responsibilities of the internal audit function.

- Approve the internal audit charter, which includes the internal audit mandate and the scope and types of internal audit services.

Senior Management

- Participate in discussions with the board and chief audit executive and provide input on expectations for the internal audit function that the board should consider when establishing the internal audit mandate.
- Support the internal audit mandate throughout the organization and promote the authority granted to the internal audit function.

Standard 6.2 Internal Audit Charter

Requirements

The chief audit executive must develop and maintain an internal audit charter that specifies, at a minimum, the internal audit function's:

- Purpose of Internal Audi ng.
- Commitment to adhering to the Global Internal Audit Standards.
- Mandate, including scope and types of services to be provided, and the board's responsibilities and expectations regarding management's support of the internal audit function. (See also Standard 6.1 Internal Audit Mandate.)
- Organizational position and reporting relationships. (See also Standard 7.1 Organizational Independence.)

The chief audit executive must discuss the proposed charter with the board and senior management to confirm that it accurately reflects their understanding and expectations of the internal audit function.

Essential Conditions listed were pulled from The Institute of Internal Auditors, Global Internal Audit Standards, Domain III: Governing the Internal Audit Function, pages 39-59.

Essential Conditions

Board

- Discuss with the chief audit executive and senior management other topics that should be included in the internal audit charter to enable an effective internal audit function.
- Approve the internal audit charter.
- Review the internal audit charter with the chief audit executive to consider changes affecting the organization, such as the employment of a new chief audit executive or changes in the type, severity, and interdependencies of risks to the organization.

Senior Management

- Communicate with the board and chief audit executive about management's expectations that should be considered for inclusion in the internal audit charter.

Standard 6.3 Board and Senior Management Support

Requirements

11 The chief audit executive must provide the board and senior management with the information needed to support and promote recognition of the internal audit function throughout the organization.

12 The chief audit executive must coordinate the internal audit function's board communications with senior management to support the board's ability to fulfill its requirements.

Essential Conditions

Board

- Champion the internal audit function to enable it to fulfill the Purpose of Internal Audi ng and pursue its strategy and objectives.

- Work with senior management to enable the internal audit function's unrestricted access to the data, records, information, personnel, and physical proper es necessary to fulfill the internal audit mandate.
- Support the chief audit executive through regular, direct communications.
- Demonstrate support by:
  - Specifying that the chief audit executive reports to a level within the organization that allows the internal audit function to fulfill the internal audit mandate.
  - Approving the internal audit charter, internal audit plan, budget, and resource plan.
  - Making appropriate inquiries of senior management and the chief audit executive to determine whether any restrictions on the internal audit function's scope, access, authority, or resources limit the function's ability to carry out its responsibilities effectively.
  - Meeting periodically with the chief audit executive in sessions without senior management present.

Senior Management

- Support recognition of the internal audit function throughout the organization.
- Work with the board and management throughout the organization to enable the internal audit function's unrestricted access to the data, records, information, personnel, and physical properties necessary to fulfill the internal audit mandate.

Standard 7.1 Organizational Independence

Requirements

The chief audit executive must confirm to the board the organizational independence of the internal audit function at least annually. This includes communicating incidents where independence may have been impaired and the actions or safeguards employed to address the impairment.

The chief audit executive must document in the internal audit charter the reporting relationships and organizational positioning of the internal audit function, as determined by the board. (See also Standard 6.2 Internal Audit Charter.)

The chief audit executive must discuss with the board and senior management any current or proposed roles and responsibilities that have the potential to impair the internal audit function's independence, either in fact or appearance. The chief audit executive must advise the board and senior management of the types of safeguards to manage actual, potential, or perceived impairments.

When the chief audit executive has one or more ongoing roles beyond internal auditing, the responsibilities, nature of work, and established safeguards must be documented in the internal audit charter. If those areas of responsibility are subject to internal auditing, alternative processes to obtain assurance must be established, such as contracting with an objective, competent external assurance provider that reports independently to the board.

When the chief audit executive's nonaudit responsibilities are temporary, assurance for those areas must be provided by an independent third party during the temporary assignment and for the subsequent 12 months. Also, the chief audit executive must establish a plan to transition those responsibilities to management.

If the governing structure does not support organizational independence, the chief audit executive must document the characteristics of the governing structure limiting independence and any safeguards that may be employed to achieve this principle.

Essential Conditions

Board

- Establish a direct reporting relationship with the chief audit executive and the internal audit function to enable the internal audit function to fulfill its mandate.

- Authorize the appointment and removal of the chief audit executive.
- Provide input to senior management to support the performance evaluation and remuneration of the chief audit executive.
- Provide the chief audit executive with opportunities to discuss significant and sensitive matters with the board, including meetings without senior management present.
- Require that the chief audit executive be positioned at a level in the organization that enables internal audit services and responsibilities to be performed without interference from management. This positioning provides the organizational authority and status to bring matters directly to senior management and escalate matters to the board when necessary.
- Acknowledge the actual or potential impairments to the internal audit function's independence when approving roles or responsibilities for the chief audit executive that are beyond the scope of internal auditing.
- Engage with senior management and the chief audit executive to establish appropriate safeguards if chief audit executive roles and responsibilities impair or appear to impair the internal audit function's independence.
- Engage with senior management to ensure that the internal audit function is free from interference when determining its scope, performing internal audit engagements, and communicating results.

Senior Management

- Posi on the internal audit function at a level within the organization that enables it to perform its services and responsibilities without interference, as directed by the board.
- Recognize the chief audit executive's direct reporting relationship with the board.
- Engage with the board and the chief audit executive to understand any potential impairments to the internal audit function's independence caused by nonaudit roles or other circumstances and support the

implementation of appropriate safeguards to manage such impairments.

- Provide input to the board on the appointment and removal of the chief audit executive.
- Solicit input from the board on the performance evaluation and remuneration of the chief audit executive.

Standard 7.2 Chief Audit Executive Qualifications

Requirements

The chief audit executive must help the board understand the qualifications and competencies of a chief audit executive that are necessary to manage the internal audit function. The chief audit executive facilitates this understanding by providing information and examples of common and leading qualifications and competencies.

The chief audit executive must maintain and enhance the qualifications and competencies necessary to fulfill the roles and responsibilities expected by the board. (See also Principle 3 Demonstrate Competency and its standards.)

Essential Conditions

Board

- Review the requirements necessary for the chief audit executive to manage the internal audit function, as described in Domain IV: Managing the Internal Audit Function.
- Approve the chief audit executive's roles and responsibilities and identify the necessary qualifications, experience, and competencies to carry out these roles and responsibilities.
- Engage with senior management to appoint a chief audit executive with the qualifications and competencies necessary to manage the internal audit function effectively and ensure the quality performance of internal audit services.

Senior Management

- Engage with the board to determine the chief audit executive's qualifications, experience, and competencies.
- Enable the appointment, development, and remuneration of the chief audit executive through the organization's human resources processes.

Standard 8.1 Board Interaction

Requirements

The chief audit executive must provide the board with the information needed to conduct its oversight responsibilities. This information may be specifically requested by the board or may be, in the judgment of the chief audit executive, valuable for the board to exercise its oversight responsibilities.

The chief audit executive must report to the board and senior management:

- The internal audit plan and budget and subsequent significant revisions to them. (See also Standards 6.3 Board and Senior Management Support and 9.4 Internal Audit Plan.)
- Changes potentially affecting the mandate or charter. (See also Standards 6.1 Internal Audit Mandate and 6.2 Internal Audit Charter.)
- Potential impairments to independence. (See also Standard 7.1 Organizational Independence.)
- Results of internal audit services, including conclusions, themes, assurance, advice, insights, and monitoring results. (See also Standards 11.3 Communicating Results, 14.5 Engagement Conclusions, and 15.2 Confirming the Implementation of Recommendations or Action Plans.)
- Results from the quality assurance and improvement program. (See also Standards 8.3 Quality, 8.4 External Quality Assessment, 12.1 Internal Quality Assessment, and 12.2 Performance Measurement.)

There may be instances when the chief audit executive disagrees with senior management or other stakeholders on the scope, findings, or other aspects of an engagement that may affect the ability of the



internal audit function to execute its responsibilities. In such cases, the chief audit executive must provide the board with the facts and circumstances to allow the board to consider whether, in its oversight role, it should intervene with senior management or other stakeholders.

Essential Conditions

Board

- Communicate with the chief audit executive to understand how the internal audit function is fulfilling its mandate.
- Communicate the board's perspective on the organization's strategies, objectives, and risks to assist the chief audit executive with determining internal audit priori es.
- Set expectations with the chief audit executive for:
  - The frequency with which the board wants to receive communications from the chief audit executive.
  - The criteria for determining which issues should be escalated to the board, such as significant risks that exceed the board's risk tolerance.
  - The process for escalating matters of importance to the board.
- Gain an understanding of the effectiveness of the organization's governance, risk management, and control processes based on the results of internal audit engagements and discussions with senior management.
- Discuss with the chief audit executive disagreements with senior management or other stakeholders and provide support as necessary to enable the chief audit executive to perform the responsibilities outlined in the internal audit mandate.

Senior Management

- Communicate senior management's perspective on the organization's strategies, objectives, and risks to assist the chief audit executive with determining internal audit priori es.

- Assist the board in understanding the effectiveness of the organization's governance, risk management, and control processes.
- Work with the board and the chief audit executive on the process for escalating matters of importance to the board.

Standard 8.2 Resources

Requirements

The chief audit executive must evaluate whether internal audit resources are sufficient to fulfill the internal audit mandate and achieve the internal audit plan. If not, the chief audit executive must develop a strategy to obtain sufficient resources and inform the board about the impact of insufficient resources and how any resource shortfalls will be addressed.

Essential Conditions

Board

- Collaborate with senior management to provide the internal audit function with sufficient resources to fulfill the internal audit mandate and achieve the internal audit plan.
- Discuss with the chief audit executive, at least annually, the sufficiency, both in numbers and capabilities, of internal audit resources to fulfill the internal audit mandate and achieve the internal audit plan.
- Consider the impact of insufficient resources on the internal audit mandate and plan.
- Engage with senior management and the chief audit executive on remedying the situation if the resources are determined to be insufficient.

Senior Management

- Engage with the board to provide the internal audit function with sufficient resources to fulfill the internal audit mandate and achieve the internal audit plan.
- Engage with the board and the chief audit executive on any issues of insufficient resources and how to remedy the situation.

Standard 8.3 Quality

Requirements

The chief audit executive must develop, implement, and maintain a quality assurance and improvement program that covers all aspects of the internal audit function. The program includes two types of assessments:

- External assessments. (See also Standard 8.4 External Quality Assessment.)
- Internal assessments. (See also Standard 12.1 Internal Quality Assessment.)

At least annually, the chief audit executive must communicate the results of the internal quality assessment to the board and senior management. The results of the external quality assessments must be reported when completed. In both cases, such communications include:

- The internal audit function's conformance with the Standards and achievement of performance objectives.
- If applicable, compliance with laws and/or regulations relevant to internal auditing.
- If applicable, plans to address the internal audit function's deficiencies and opportunities for improvement.

Essential Conditions

Board

- Discuss with the chief audit executive the quality assurance and improvement program, as outlined in Domain IV: Managing the Internal Audit Function.
- Approve the internal audit function's performance objectives at least annually. (See also Standard 12.2 Performance Management.)
- Assess the effectiveness and efficiency of the internal audit function. Such an assessment includes:

- Reviewing the internal audit function's performance objectives, including its conformance with the Standards, laws and regulations; ability to meet the internal
- audit mandate; and progress towards completion of the internal audit plan.
- Considering the results of the internal audit function's quality assurance and improvement program.
- Determining the extent to which the internal audit function's performance objectives are being met.

Senior Management

- Provide input on the internal audit function's performance objectives.
- Participate with the board in an annual assessment of the chief audit executive and internal audit function.

Standard 8.4 External Quality Assessment

Requirements

The chief audit executive must develop a plan for an external quality assessment and discuss the plan with the board. The external assessment must be performed at least once every five years by a qualified, independent assessor or assessment team. The requirement for an external quality assessment may also be met through a self-assessment with independent validation.

When selecting the independent assessor or assessment team, the chief audit executive must ensure at least one person holds an active Certified Internal Auditor® designation.

Essential Conditions

Board

- Discuss with the chief audit executive the plans to have an external quality assessment of the internal audit function conducted by an independent, qualified assessor or assessment team.

- Collaborate with senior management and the chief audit executive to determine the scope and frequency of the external quality assessment.
- Consider the responsibilities and regulatory requirements of the internal audit function and the chief audit executive, as described in the internal audit charter, when defining the scope of the external quality assessment.
- Review and approve the chief audit executive's plan for the performance of an external quality assessment. Such approval should cover, at a minimum:
  - The scope and frequency of assessments.
  - The competencies and independence of the external assessor or assessment team.
  - The rationale for choosing to conduct a self-assessment with independent validation instead of an external quality assessment.
- Require receipt of the complete results of the external quality assessment or self- assessment with independent validation directly from the assessor.
- Review and approve the chief audit executive's action plans to address identified deficiencies and opportunities for improvement, if applicable.
- Approve a timeline for completion of the action plans and monitor the chief audit executive's progress.

Senior Management

- Collaborate with the board and the chief audit executive to determine the scope and frequency of the external quality assessment.
- Review the results of the external quality assessment, collaborate with the chief audit executive and board to agree on action plans that address identified deficiencies and opportunities for improvement, if applicable, and agree on a timeline for completion of the action plans.